The Benefits of Financial Statement Comparability

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Roadmap

1. Introduction
2. Comparability Measure
3. Research Design
4. Hypotheses
5. Models & Validity

Motivation, Prior Literature & Gap

- **Importance:** The SEC (2000) and FASB (1980) stress that comparable financial statements facilitate efficient capital allocation. Textbooks universally emphasize cross-firm comparability.
- **Prior Literature:**
  - *Input-based:* Bradshaw and Miller (2008), DeFond and Hung (2003), Bradshaw et al. (2009) — examine accounting method heterogeneity (e.g., LIFO vs. FIFO). Requires ad hoc decisions on which choices to use and costly data collection.
  - *Cross-sectional levels:* Joos and Lang (1994), Land and Lang (2002) — compare contemporaneous levels (ROE, multiples) at a single point. Static, not firm-specific.
- **Gap:** Despite widespread agreement on importance, **no empirical construct** of comparability existed, and **little evidence** documented its benefits to users.

Research Questions

"How can we **measure** *financial statement comparability, and does higher comparability* **benefit** *financial statement users?"*

- **Develop** a firm-specific, **output-based**, quantitative measure of financial statement comparability — contrast with input-based and static approaches in prior work.
- **Document** benefits to sell-side analysts: coverage, forecast accuracy, and forecast dispersion.

Definition of Comparability

FASB Definition

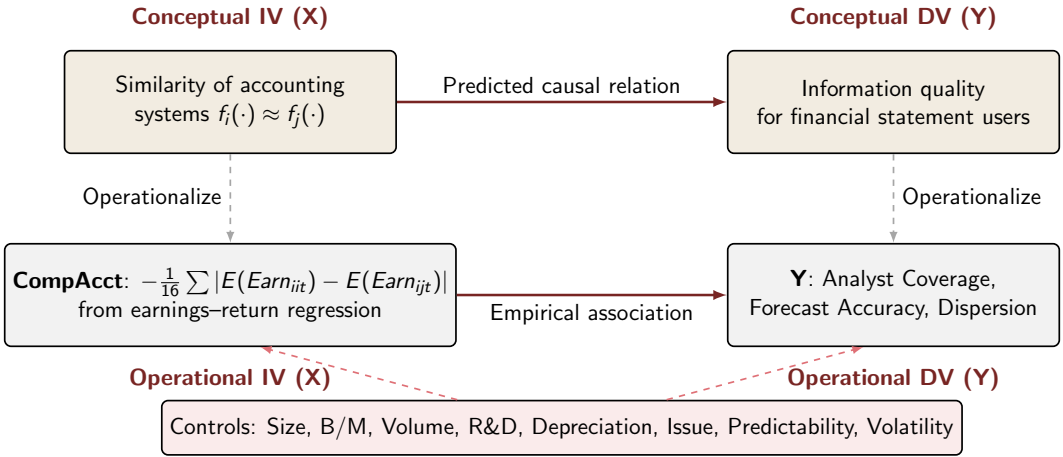
"Comparability is the quality of information that enables users to identify **similarities and differences** between two sets of economic phenomena" (Financial Accounting Standards Board, 1980).

- The **accounting system** is a mapping from economic events to financial statements:

$$\text{Financial Statements}_i = f_i(\text{Economic Events}_i)$$

- Two firms have **comparable** accounting systems if, for a **given set of economic events**, they produce **similar financial statements**.
- Comparability $\neq$ Uniformity: firms may use different accounting methods yet still produce comparable outputs.

Research Design (Libby Box)



Measuring Comparability: The Accounting Function

Step 1: Estimate each firm's accounting function using 16 quarters of data:

$$Earnings_{it} = \alpha_i + \beta_i \, Return_{it} + \varepsilon_{it} \quad \text{— Eq. (2)}$$

Step 2: Predict earnings using both firm i's and firm j's functions, holding economic events constant (using firm i's returns):

$$E(Earnings)_{iit} = \hat{\alpha}_i + \hat{\beta}_i \, Return_{it}$$
$$E(Earnings)_{ijt} = \hat{\alpha}_j + \hat{\beta}_j \, Return_{it}$$

Step 3: Comparability = negative average absolute difference:

$$CompAcct_{ijt} = -\frac{1}{16} \sum_{t-15}^{t} \left| E(Earnings_{iit}) - E(Earnings_{ijt}) \right|$$

Greater (less negative) values ⇒ **greater comparability**.

Aggregation to Firm-Level Measures

- $CompAcct_{ijt}$ is computed for **every firm-pair** (i, j) within the same 2-digit SIC industry.
- **Firm-level aggregation:**
  - **CompAcct4**$_{it}$: Average $CompAcct_{ijt}$ of the **four most comparable** firms j to firm i.
  - **CompAcctInd**$_{it}$: Median $CompAcct_{ijt}$ for **all firms** j in the same industry as firm i.
- Both measures are **dynamic** (updated annually), **firm-specific**, and **output-based**.

Why these proxies?

- **Stock return** proxies for economic events (Kothari, 2001); holding it constant isolates the accounting function difference.
- **Earnings** is the key income statement output — keeps the model parsimonious and avoids ad hoc choices about which accounting methods to examine.

Hypotheses and Logic

H1: Analyst Coverage

Financial statement comparability is **positively associated** with analysts' coverage.

Logic: Lower info acquisition costs ⇒ more analysts cover the firm (Bhushan, 1989; Lang and Lundholm, 1996).

H2a: Forecast Accuracy

Financial statement comparability is **positively associated** with analysts' forecast accuracy.

Logic: Higher-quality information from comparable peers helps analysts better evaluate performance and forecast earnings.

H2b: Forecast Dispersion

Financial statement comparability is **negatively associated** with analysts' forecast dispersion.

Logic: Superior public info ⇒ more weight on public signals, less on private ⇒ forecasts converge.

Model Specifications

Analyst Coverage (OLS, Eq. 10):

$$Coverage_{it+1} = \alpha + \beta_1 \, Comparability_{it} + \gamma \, Controls_{it} + \varepsilon_{it+1}$$

Forecast Accuracy & Dispersion (OLS, Eq. 11):

$$Forecast\text{-}Metric_{it+1} = \alpha + \beta_1 \, Comparability_{it} + \gamma \, Controls_{it} + \varepsilon_{it+1}$$

where $Forecast\text{-}Metric \in \{Accuracy, \ Dispersion\}$.

Controls:

- Eq. (10): Size, B/M, Volume, R&D, Depreciation, Issue, Predictability, $\text{Volatility}_{\text{Earn}}$, $\text{Volatility}_{\text{Ret}}$.
- Eq. (11): adds SUE, Neg UE, Loss, Neg SI, Days.

Estimation: Industry & year FE; SE clustered at firm and year levels (Petersen, 2009).

Descriptive Statistics (Table 2)

- **Panel A:** Mean (median) *CompAcct* $= -5.1\%$ (-2.7%) of market value for a random sample of 635,777 firm-pairs (year 2005). Distribution is left-skewed.
- **Panel B:** Same-industry pairs have higher comparability (-2.7) than cross-industry (≈ -4.1). Same-size quintile pairs (-5.6) more comparable than opposite (-6.7).
- **Panel C:** Firms with similar earnings attributes (accrual quality, predictability, smoothness, loss status) have higher *CompAcct* — the measure behaves as expected.

Panel A: No Partitions

		CompAcct$_{ij}$ (%)				
	No. of Obs.	Mean	STD	10th Percent	Median	90th Percent
Full sample	635,777	−5.1	7.2	−0.5	−2.7	−11.5

Panel B: Economic Partitions

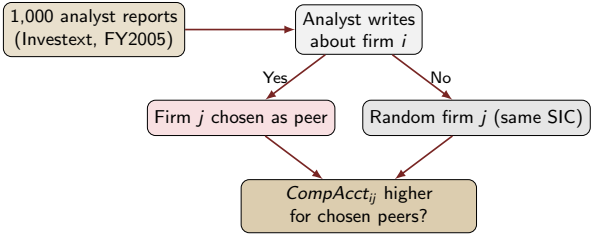
		CompAcct$_{ij}$ (%)	
	No. of Obs.	Mean	Median
By *Industry*			
Firms i and j in banking industry	227	−2.7	−1.2
Firm i in banking while firm j in manufacturing industry	6,453	−4.2	−2.0
Firm i in banking while firm j in utility industry	1,128	−4.1	−1.4
By *Size*			
Firm i in same extreme quintile as firm j	50,593	−5.6	−2.5
Firm i in opposite extreme quintile from firm j	51,089	−6.7	−3.6
By *Book-Market*			
Firm i in same extreme quintile as firm j	50,452	−6.0	−3.6
Firm i in opposite extreme quintile from firm j	51,063	−6.1	−3.7

Panel C: Earnings Attributes Partitions

		CompAcct$_{ij}$ (%)	
	No. of Obs.	Mean	Median
By *Accrual Quality*			
Firm i in same extreme quintile as firm j	50,383	−5.3	−2.8
Firm i in opposite extreme quintile from firm j	51,195	−6.1	−3.7
By *Predictability*			
Firm i in same extreme quintile as firm j	50,578	−4.8	−2.4
Firm i in opposite extreme quintile from firm j	50,656	−5.1	−2.7
By *Smoothness*			
Firm i in same extreme quintile as firm j	50,441	−4.4	−2.0
Firm i in opposite extreme quintile from firm j	51,102	−5.3	−3.0
By *Loss*			
Firms i and j both report losses or both report profits	375,929	−3.7	−1.6
Firm i reports a loss but firm j reports a profit or vice versa	259,848	−7.1	−5.0

Construct Validity: Use of Peers in Analyst Reports (Table 3)

Probit Model (Eq. 6): $AnalystComp_{ikj} = \alpha + \beta_1 CompAcct_{ij} + \gamma Controls_j + \varepsilon$



$\beta_1 > 0$ *** $\Rightarrow$ **Validated**

	Prediction	Match on Industry (1)	Match on Industry, Size, and Book-Market (2)
$CompAcct_{ij}$	+	0.05***	0.03***
		(5.92)	(2.76)

- $AnalystComp = 1$ if analyst k uses firm j as a peer when writing about firm i.
- $CompAcct_{ij}$ is **positive and significant**: 1-SD increase $\Rightarrow$ **5%** (Col. 1, industry-matched) and **3%** (Col. 2, industry-size-BM matched) higher probability of being selected as a peer.
- Validates that the measure captures comparability as perceived by analysts.

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Thanks